

Three Reasons We Will Not Be a DIY Investor

Fear of Failure

“And it never failed that during the dry years the people forgot about the rich years, and during the wet years they lost all memory of the dry years. It was always that way.”

—John Steinbeck

We may avoid a DIY solution because if we do it ourselves and screw it up, well, then we're idiots and should have known better. As Steinbeck points out in the quote above, a dry year is a dry year, and that's all people remember. This kind of reaction happens all the time.

Consider the football coach whose team has moved down to the opponent's 1-yard line. It is now fourth down. Should the coach go for the touchdown or settle for the field goal? Statistically, football coaches have been shown to opt for a conservative kick far more often than they should.³ Why?

One theory is that coaches are risk averse, and being stopped on fourth down, even if it is a better bet, is very painful (even hazardous to one's career). As Bill Cowher, former head coach of the Steelers put it, “...That one time it doesn't work could cost your team a football game, and that's the thing a head coach has to live with...”⁴ If the team goes for it, fails to score, and loses the game, the coach “made” the wrong decision.

Hindsight is, after all, 20/20. It's easy to anticipate the criticism: “Why didn't you take the bird in the hand? You should have kicked the field goal!” Coaches may anticipate the worst case and the criticism and just kick the field goal, even though this might be a suboptimal decision. They certainly don't want to explain themselves at the next cocktail party.

For our nest eggs, we want to avoid a similar fate. If your DIY effort has a down year, you don't want to explain to your spouse why you fired the expensive advisor! Your silly model got it wrong. An expert with the experience and knowledge to forecast the future would have been a better choice.

By contrast, if we hire an expert and have a bad outcome, then we aren't the coach who made the bad call. Marital bliss is preserved and a simple